SEAT NO. CT-23025

NED UNIVERSITY OF ENGINEERING & TECHNOLOGY

SECOND YEAR (Computer Science)

SPRING SEMESTER EXAMINATIONS 2025

Time : 3 Hours | Batch 2023 | Dated : 29-MAY-25

Max Marks : 60

Financial & Cost Accounting - EC-209

Attempt all questions

Question1 Short Questions *CLO1* **[20]**

a) Differentiate between fixed costs and variable costs with examples.

b) What is a mixed cost? Provide an example.

c) What three components make up **prime cost**?

d) Describe the effect on net profit of over-applied and under-applied manufacturing overhead.

Question2 a) Manufacturing Statement CLO2 **[20]**

	$
1 January 20X7, Stock of raw materials	8,000
31 December 20X7, Stock of raw materials	10,500
1 January 20X7, Work in progress	3,500
31 December 20X7, Work in progress	4,200
Year to 31 December 20X7:	
Wages: Direct	39,600
Indirect	25,500
Purchase of raw materials	87,000
Fuel and power	9,900
Direct expenses	1,400
Lubricants	3,000
Carriage inwards on raw materials	2,000
Rent of factory	7,200
Depreciation of factory plant and machinery	4,200
Internal transport expenses	1,800
Insurance of factory buildings and plant	1,500
General factory expenses	3,300

Required:

Prepare manufacturing statement

b) Interpret the composition and significance of **total cost** in manufacturing accounting, explaining how it incorporates both production and non-production expenses. (Draw the flow chart of **total cost**)

Question3 Standard Costing & Variance

CLO3**[10]**

a) Standard Costing & Variance

	Standard	Actual
Direct Material	10,000 unit @$4/-	9,800 unit @$3.5/-
Direct Labour	5,000 unit @$6/-	6,000 unit @$6.5/-
Factory Over Head	50% of direct Labour	$13,500

Required: i) Material Price & Quantity Variance

ii) Labour Rate & Efficiency Variance

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iii) **Overhead Variance**

b) Standard Costing & Variance	**$**	
Material Price variance	3,000	Favorable
Material Quantity variance	1,800	unfavorable
Labour Rate variance	540	unfavorable
Labour Efficiency variance	1080	unfavorable
Standard Material Cost	13,200	
Actual Labour Cost	7,020	
Required:		
i) Calculate Actual Material Cost		
ii) Calculate Standard Labour Cost		

Question4 Budgeting CLO3[10]

Total Sales	**200,000**	**Unit, selling price per unit @ $40**
1 Qtr.	10%	
2 Qtr.	30%	
3 Qtr.	40%	
4 Qtr.	20%	

Cash collection method

1. Sales are collected in the following pattern: 60% in the quarter the sales are made, and the remaining 40% in the following quarter.
2. Account Receivable Beg. Balance 90,000

Required : **a)** Sales & cash collection budget schedule.

b) Prepare the quarterly Accounts Receivable with proper footing and balancing.